GST Input Tax Credit Policy

Document	POL-TAX-005
Version	v1.2
Effective from	1 November 2026
Owner	Meera Kulkarni (tax manager)
Approved by	Vikram Nair (financial controller)
Status	Approved

1. Purpose

This policy decides when Northbridge may claim back the GST it pays on purchases (input tax credit), and who checks it. Credit claimed wrongly must be paid back with interest, so every claim is checked first.

2. Conditions for credit

2.1 When credit may be claimed

GST input tax credit is claimed only after the invoice appears in GSTR-2B (CGST Act section 16(2)(aa)). The goods must also have been received, as shown by the goods receipt.

2.2 E-invoices

An invoice from a supplier that must issue e-invoices but has no valid IRN gets no credit and is held for the tax manager. Ask Northbridge checks the IRN when the invoice is entered.

3. The monthly cycle

IMS review on the 12th and 13th; GSTR-2B on the 14th; GSTR-3B filed by the 20th; supplier filing check on the 25th. Any invoice left without action in IMS counts as accepted, so every invoice is reviewed before the 14th.

4. Escalation

4.1 Escalation

Every GST reconciliation issue is escalated to the tax manager, Meera Kulkarni, within 24 hours. This includes an invoice missing from GSTR-2B, a value or tax mismatch, and an invoice in GSTR-2B that is not in Ledgerline.

5. Reversals

5.1 The 180-day rule

180-day rule: a warning on day 150 after the invoice date; on day 181 the credit on the unpaid part is reversed with interest. A payment counts only once the bank statement confirms it.

5.2 Blocked credit

Credit on goods lost, stolen, destroyed or written off is blocked (CGST Act section 17(5)(h)) and reversed in GSTR-3B table 4(B)(1). Goods damaged in transit fall under this rule; defective goods returned to the supplier are covered by the supplier's credit note instead.

6. Contract GST payment terms

Contract GST payment terms: T1 pays the full invoice less TDS, and the GST is recovered if the invoice is not in GSTR-2B within 2 months; T2 pays the taxable value first and the GST after GSTR-2B shows the invoice. Each supplier's term is in the Vendor Master.

7. Revision history

Version	Effective from	Change
v1.2	1 November 2026	IMS review, escalation to the tax manager, contract GST terms